IN THE NATIONAL COMPANY LAW TRIBUNAL
BENGALURU BENCH

C.P (CAA) No.84/BB/2017
U/Sec. 230-232 of the Companies Act, 2013

IN THE MATTER OF SCHEME OF AMALGAMATION
OF
HC HYDRAULIC TECHNOLOGIES PRIVATE LIMITED (Transferor Company)

WITH
WALVOIL FLUID POWER (INDIA) PRIVATE LIMITED (Transferee Company)
AND
THEIR RESPECTIVE SHAREHOLDERS

Order Delivered on: 20th April, 2018

Coram: Hon'ble Shri Rajeshwara Rao Vittanala, Member (Judicial)
Hon'ble Shri Ashok Kumar Mishra, Member (Technical)

Walvoil Fluid Power (India) Private Limited
No 23, Doddanakundi Industrial Area
Behind Graphite India,
Mahadevpura Post,
Bangalore – 560 048 - **Petitioner No. 1/Transferee Company**

HC Hydraulic Technologies Private Limited
A-5, NGEF Industrial Estate
Whitefield Road,
Mahadevapura Post
Bengaluru – 560 048 - **Petitioner No. 2/Transferor Company**

For the Petitioner (s): Mr. Binoy Chacko,
463, 10th Main, 13th Cross,
Wilson Garden,
Bengaluru- 560 027
Practicing Company Secretary for the Petitioner Companies

Per: **Hon'ble Shri Ashok Kumar Mishra, Member (Technical) – Author**

Heard on: 19.12.2017, 13.02.2018, 13.03.2018, 04.04.2018.

The Company Petition was filed jointly on behalf of the Petitioner Companies under Section 230 and 232 of the Companies Act, 2013 praying to order for sanctioning the Scheme of Amalgamation of **Petitioner Company No. 2/ Transferor Company** is being merged with **Petitioner Company No.1/ Transferee** so as to be binding on the Petitioner Companies, and all their respective shareholders and creditors.

The averments made in the Company Petition are briefly described hereunder:

The Petitioner Companies seek an order for sanctioning the Scheme of Amalgamation of **HC HYDRAULIC TECHNOLOGIES PRIVATE LIMITED** (Petitioner Company No. 2/ Transferor Company) with **WALVOIL FLUID POWER (INDIA) PRIVATE LIMITED** (Petitioner Company No.1/Transferee Company). The Scheme of Amalgamation is shown as **Annexure-A**.

The Petitioner Company No.1/Transferee Company was incorporated on 26th July, 2005 under the name and style of **WALVOIL FLUID POWER (INDIA) PRIVATE LIMITED** with the Registrar of Companies, Karnataka vide CIN bearing No. **U29120KA2005PTC036841**. The Registered office of the Transferee Company is situated at No 23, Doddanakundi Industrial Area, Behind Graphite India, Mahadevpura Post, Bangalore – 560 048.

The Petitioner Company No.1/Transferee Company's main objects as set out in its Memorandum of Association *inter alia* is as follows:

i. To design, buy, import, manufacture, assemble, export, sell or lease and/or otherwise to deal in all kinds of hydraulic valves, machines and machines tools, fixtures, jigs, moulds, gauges and measuring appliances, moulded rubber products, oil seals, pistons and piston rings, pumps, motors, machine components or spare parts thereof, which may be usefully or conveniently combined with the business of the company.

ii. To enter into any joint ventures or arrangements to take up manufacture of any products mentioned above involving supply of plant and machinery, technical, civil, financial and manufacturing expertise and technology transfer and to carry on the business of Consulting Engineers and Business Advisors and also to undertake on turnkey basis any projects involving the above.

The Copy of Certificate of Incorporation, Memorandum & Articles of Association of the Petitioner Company No.1/Transferee Company are shown in **Annexure-B**.

The Authorised Share Capital of the Petitioner Company No.1/Transferee Company as stated in the petition is Rs. 5,00,00,000/- divided in to 5,00,000 equity shares of Rs. 100/- each. The Issued, Subscribed and Paid-up Share Capital is Rs. 4,97,64,700/- divided in to 4,97,647 equity shares of Rs.100/- each.

The Copy of Audited Financials of the Petitioner Company No.1/Transferee Company as on 31st March, 2017 is shown in **Annexure-C**.

The Petitioner Company No. 2/Transferor Company was incorporated on 1st September, 2005 under the name and style of **HC HYDRAULIC TECHNOLOGIES PRIVATE LIMITED** with the Registrar of Companies, Karnataka vide CIN bearing No. **U29120KA2005PTC037112**. The Registered office of the Petitioner Company No. 2/ Transferor Company is situated at A-5, NGEF Industrial Estate, Whitefield Road, Mahadevapura Post, Bengaluru – 560 048.

The Petitioner Company No. 2/Transferor Company's main objects as set out in its Memorandum of Association *inter alia* is as follows:

i. To carry on the business of manufacturers, designers, assemblers, traders, dealers, importers, exporters and distributors of various kinds of hydro control valves, directional control valves, hydraulic remote controls, pressure control valves, flow control valves, selector valves, accumulators, cylinders, power units and instruments, various hydraulic and fluid power motors, pumps, gear pumps control valves, winches, gear boxes and other related industrial fluid power electrical, electronic and mechanical engineering products, equipments, spare parts and accessories and the like relating to the hydraulic component business.

ii. To carry on the business as Fluid Power Engineers, Civil, Mechanical, Electrical, Electronic and consulting Engineers, internal combustion, mining and marine engineers, planning and research engineers and to tackle all kinds of engineering problems and to act as technical consultants on problems arising in the manufacture or use of engines or equipments of any nature and

in connection therewith, to establish, maintain and run foundries and workshops and also suitable for experimental work and the like.

The Copy of Certificate of Incorporation, Memorandum & Articles of Association of the Petitioner Company No. 2/Transferor Company are shown in **Annexure-D**.

The Authorised Share Capital of the Petitioner Company No. 2/Transferor Company is Rs. 40,00,00,000/- divided into 4,00,00,000 Equity Shares of Rs. 10/- each. The Issued, Subscribed and Paid-up Share Capital is Rs. 28,07,52,590/- divided into 2,80,75,259 equity shares of Rs. 10/- each.

The Copy of Audited Financials of the Petitioner Company No. 2/Transferor Company as on 31st March, 2017 is shown in **Annexure-E**.

The Board of Directors of the Petitioner Company No. 1/Transferee Company and Petitioner Company No. 2/Transferor Company have approved and adopted the Scheme of Amalgamation at their respective meetings held on 30th May, 2017. The copies of Board Resolutions are shown in **Annexure-F & Annexure-G**.

It is averred that the Petitioner Companies had jointly filed the Company Application C.A. (CAA)No. 64/BB/2017 before this Tribunal for dispensation of meeting of the Secured Creditors of the Petitioner Company No. 2/Transferor Company and directions to hold the meetings of the Shareholders and Unsecured Creditors of the Petitioner Companies respectively for approving the Scheme of Amalgamation. The Tribunal vide its Order dated 05.10.2017 allowed the Company Application and dispensed with the meeting of Secured Creditors of the Petitioner Company No. 2/Transferor Company and directed to convene the meetings of the Shareholders and Unsecured Creditors of the Petitioner Company No. 1/Transferee Company and Petitioner Company No. 2/Transferor Company respectively. The Petitioner Company No. 1/Transferee Company was directed to convene Equity Shareholders and Unsecured Creditors meeting (s) on 15th November, 2017 at 10:00 A.M. and 11:00 A.M. respectively to be held at No. 19, 2nd Cross, 2nd Main, KIADB Industrial Area, Attibele, Anekal Taluk, Bengaluru-562107. The Petitioner Company No. 2/Transferor Company was directed to convene Equity Shareholders and Unsecured Creditors meeting(s) on 15th November, 2017 at 3:00 P.M. and 4:00 P.M. respectively to be held at No. 19, 2nd Cross, 2nd Main, KIADB Industrial Area, Attibele, Anekal Taluk, Bengaluru-562107. The copy of the order of the Tribunal is shown in **Annexure-H**.

It is averred that the Notices of the aforementioned meetings were sent individually to the Equity Shareholders, and Unsecured Creditors in respect of the Petitioner Company No. 1/Transferee Company as required by the Tribunal Order, together with a copy of the Statement under Section 230(3) of the Companies Act, 2013, Scheme of Amalgamation and a form of proxy in MGT-11. The Notices of the meetings were published in the "The Hindu" and "Udayavani" dated 14/10/2017 by the Petitioner Company No. 1/Transferee Company. Further, Notices with respect to Petitioner Company No. 1/Transferee Company were issued to Regional Director, South Eastern Region, Ministry of Corporate Affairs, Hyderabad, the Registrar of Companies, Karnataka, Income Tax Officer. The Petitioner Company No. 1/Transferee Company craves leave to refer to and rely upon the affidavit filed by Mr. Sheshnath Balasubramaniam, Managing Director of the Petitioner Company No. 1/Transferee Company, who was appointed as Chairman of the meeting of the Shareholders and Unsecured Creditors by this Hon'ble Tribunal, providing service of the said notices convening the meetings of the Shareholders and Unsecured Creditors of the Petitioner Company No. 1/Transferee Company.

It is averred that the Notice of the said meetings were sent individually to the Equity Shareholders, and Unsecured Creditors in respect of the in respect of the Petitioner Company No. 2/Transferor Company as required by the Tribunal Order, together with a copy of the Statement under Section 230(3) of the Companies Act, 2013, Scheme of Amalgamation and a form of proxy in MGT-11. The Notice of the meeting was published in the "The Hindu" and "Udayavani" dated 14/10/2017 by the Petitioner Company No. 2/Transferor Company. Notice with respect to Petitioner Company No. 2/Transferor Company was also issued to the Regional Director, South Eastern Region, Ministry of Corporate Affairs, Hyderabad, the Registrar of Companies, Karnataka, Income Tax Officer and the Official Liquidator. As, the Petitioner Company No. 2/ Transferor Company has Foreign Direct Investment under Automatic Route of FEMA Regulations it comes under the regulatory purview of Reserve Bank of India. So, the notice was also issued to Reserve Bank of India, Bangalore. Petitioner Company No. 2/Transferor Company craves leave to refer to and rely upon the affidavit filed by Mr. Dwarkan Ramalingam, Managing Director of the Petitioner Company No. 2/Transferor Company, who was appointed as Chairman of the meeting of the Shareholders and Unsecured Creditors by this Hon'ble Tribunal, providing service of the said notices convening the meetings of the Shareholders and Unsecured Creditors of the Petitioner Company No. 2/Transferor Company.

The Petitioner Company No. 1/Transferee Company, adhering to the NCLT order dated 5.10.2017 convened the Equity Shareholders and Unsecured Creditors meeting on 15.11.2017 and accordingly:

- The Shareholders meeting was attended by all the 2 Shareholders through representatives. The total number of Shareholders voting in person or by proxy in favour of the resolution were 2. The total number of votes against the resolution were '0' (Zero). The total number of Shareholders voting in person or by proxy against the resolution were '0' (Zero). Therefore, the resolution approving the Scheme of Amalgamation of HC Hydraulics Technologies Private Limited with Walvoil Fluid Power (India) Private Limited was passed by majority of persons representing 100% (Hundred Percent) in value of the Shareholders present and voting.
- The Unsecured Creditors meeting was attended either personally or by proxy or through representatives by 80 number of Unsecured Creditors, out of the 165 of the said company, entitled together to Rs. 130,912,071/-, representing 90% of the total value of debts of the Petitioner Company No. 1/Transferee Company. The total number of Unsecured Creditors voting in person or by proxy in favour of the resolution were 80. The total number of votes against the resolution were '0' (Zero). The total number of Unsecured Creditors voting in person or by proxy against the resolution were 0 (Zero). Therefore, the resolution approving the Scheme of Amalgamation of HC Hydraulics Technologies Private Limited with Walvoil Fluid Power (India) Private Limited was passed by majority of persons representing 100% (Hundred percent) in value of the Unsecured Creditors present and voting (unanimously).
- The Petitioner Company No. 1/Transferee Company has furnished the Chairman's Report with respect to the Equity Shareholders and Unsecured Creditors held on November 15th, 2017 at 10:00 AM and 11:00 AM respectively before this Tribunal on 23.11.2017. A copy of the Chairman's Report and Affidavit along with the Scrutinizer's Report and Copy of the Resolution with respect to the Petitioner Company No. 1/Transferee Company is shown in **Annexure-I**.

The Petitioner Company No. 2/Transferor Company, adhering to the NCLT order dated 5.10.2017 convened the Equity Shareholders and Unsecured Creditors meeting on 15.11.2017 and accordingly:

- The Shareholders meeting was attended by all the 2 Shareholders through representatives. The total number of Shareholders voting in person or by proxy in favour of the resolution were 2. The total number of votes against the resolution were '0' (Zero). The total number of Shareholders voting in person or by proxy against the resolution were '0' (Zero). Therefore, the resolution approving the Scheme of Amalgamation of HC Hydraulics Technologies Private Limited with Walvoil Fluid Power (India) Private Limited was passed by majority of persons representing 100% (Hundred Percent) in value of the Shareholders present and voting.
- The Unsecured Creditors meeting was attended either personally or by proxy or through representatives by 69 number of Unsecured Creditors, out of the 115 of the said company, entitled together to Rs. 7,52,78,383/-, representing 89% of the total value of debts of the Petitioner Company No. 2/Transferor Company. The total number of Unsecured Creditors voting in person or by proxy in favour of the resolution were 69. The total number of votes against the resolution were '0' (Zero). The total number of Unsecured Creditors voting in person or by proxy against the resolution were 0 (Zero). Therefore, the resolution approving the Scheme of Amalgamation of HC Hydraulics Technologies Private Limited with Walvoil Fluid Power (India) Private Limited was passed by majority of persons representing 100% (Hundred percent) in value of the Unsecured Creditors present and voting (unanimously).
- The Petitioner Company No. 2/Transferor Company has furnished the Chairman's Report with respect to the Equity Shareholders and Unsecured Creditors held on November 15th, 2017 at 03:00 PM and 04:00 PM respectively before this Tribunal on 23.11.2017. A copy of the Chairman's Report and Affidavit along with the Scrutinizer's Report and Copy of the Resolution with respect to the Petitioner Company No. 2/Transferor Company is shown in **Annexure-J**.

The present joint petition of Petitioner Company No. 1/Transferee Company and Petitioner Company No. 2/Transferor Company was filed on 28.11.2017.

This Tribunal vide order dated 19th December, 2017 in CP(CAA) No. 84/17 directed the Petitioner Companies to issue notices on the following authorities: (i) Regional Director, Ministry of Corporate Affairs, South-East Region; (ii) Register of Companies, Karnataka; (iii) Assistant Commissioner, Income Tax; (iv) Official Liquidator and (v) Reserve Bank of India. Further, the Tribunal ordered the publication of advertisement of the Notice of Petition to be carried out in the '**Hindu**' (English Daily) and '**Udayavani**' (Kannada Daily).

The PCS for the Petitioner Companies has filed two memos dated 13th February, 2018 and 9th March, 2018, in pursuance to the order of this Tribunal dated 19th December, 2017, evidencing that notices have been sent to Regional Director, Ministry of Corporate Affairs, South-East Region, Register of Companies, Karnataka, Official Liquidator and Assistant Commissioner, Income Tax, Reserve Bank of India, and that the advertisement of the Notice of Petition carried out in the '**Hindu**' (English Daily) and '**Udayavani**' (Kannada Daily).

The **Regional Director, Ministry of Corporate Affairs, South-East Region, Hyderabad** has filed his report by way of an Affidavit dated 30th November, 2017 making the following observations:

i. The Transferor Company has filed statutory returns up to the financial year ended 2015-16 and Transferee Company has filed statutory returns up to the financial year ended 2016-2017 and no complaints, no investigations and no inspections are pending against the petitioner companies. The Transferor Company may be directed to complete statutory filings up to the financial year ended 2016-2017 before the scheme is implemented.

ii. The shares of the transferor company are held by foreign entities and hence, the discharge of consideration by the transferee company should be in compliance with the FEMA and RBI Guidelines.

The PCS for the Petitioner Companies has filed memo dated 2nd April, 2018 with an Affidavit of the Director of the Petitioner Company No, 2/Transferor Company dated 27th March, 2018 in response to the observations made by the Regional Director, Ministry of Corporate Affairs, South-East Region, Hyderabad, submitting as follows:

i. The Transferor Company has filed the statutory filings for the financial year 2016-2017 with the Registrar of Companies as follows:
   a. Annual Return (Form MGT-7) vide SRN G68490291 Dated 02.12.2017
   b. Annual Accounts (Form AOC-4) vide SRN G68055102 Dated 30.11.2017

ii. The discharge of consideration from the Transferee Company to the Transferor Company shall be in compliance with FEMA and RBI Guidelines.

The Registrar of Companies, Karnataka, Bangalore vide letter no. ROCB/ Legal/CP/84/BB/2017 dated 3rd April, 2018 observed that there are no prosecutions, complaints, and technical scrutiny/inspection pending in this office on the Petitioner Companies and that the petition may be decided on merits.

On the prayer made by the Official Liquidator in OLR No. 186/17 in CP (CAA) 84/BB/2017, vide order dated 13th February, 2018, Rao and Emmar, Chartered Accountants was appointed to scrutinize the Books of Accounts and records of Petitioner Company No.2/Transferor Company. Upon Scrutiny of Books, records and other material made available by the Transferor Company, Rao and Emmar, Chartered Accountants submitted the report.

Pursuant to the same, the Official Liquidator has filed a Report dated 8th March, 2018 in OLR No. 38/2018 stating that Rao and Emmar, Chartered Accountants have submitted Report dated 6th March, 2018 shown as **Annexure A,** wherein the Chartered Accountants have concluded in their report as follows:

i. We have obtained all the information and explanation, which to the best our knowledge and belief were necessary for the purpose of scrutiny of books and papers of Transferor Company.

ii. We are of the opinion that the Company has maintained proper books of accounts, papers, Statutory Registers, minutes and other records as required by the Companies Act, 2013.

iii. We are of the opinion that the business has not been carried on with the intent to defraud the creditors or any other persons or for any fraudulent purpose attracting the penal provisions of Section 330 of the Companies Act, 2013.

iv. Neither has any person or officer or director of the Company misapplied or diverted or retained or became liable or accountable for any money or property of the Company or has been found guilty of any misappropriation, breach of

trust in relation to the Company under Section 340 of the Companies Act, 2013.

v. In view of the above observations, we are of the opinion that the affairs of HC Hydraulic Technologies Private Limited, the Transferor Company have not been conducted in a manner prejudicial to the interest of its members or creditors or the public.

The PCS for the Petitioner Companies has filed a copy of the Accounting Treatment Certificate **dated 20th November, 2017** of the Auditor stating that: "Based on our examination and according to the information and explanations given to us, we are of the opinion that the accounting treatment contained in Clause 14 of the Scheme, is in compliance with the applicable Accounting Standard notified under Section 133 of the Companies Act, 2013, read with rules made there under, and Other Generally Accepted Accounting Principles, as applicable.". The Auditors Certificate on Accounting Treatment is filed with the memo dated **8th December, 2017.**

After hearing the Counsel for the Petitioner Companies and considering the materials on record the Scheme appears to be fair, reasonable and is not detrimental against the Members or Creditors or contrary to public policy and the same can be approved.

THIS TRIBUNAL DO FURTHER ORDER

While Approving the Scheme, we make clear that this order should not be construed as an order in any way granting exemption from payment of Stamp Duty, taxes or any other charges, if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement which may be specially required under any law.

The Whole of the property, rights and powers of the Petitioner Company No.2/Transferor Company be transferred without further act or deed to the Petitioner Company No.1/Transferee Company and accordingly the same shall pursuant to section 232 of the Companies Act, 2013, be transferred to and vest in the Petitioner Company No.1/Transferee Company for all the state and interest of the Petitioner Company No.2/Transferor Company therein but subject nevertheless to all the charges now affecting the same; and

All the liabilities including taxes and charges, if any, and duties of the Petitioner Company No.2/Transferor Company be transferred without further act or deed to the Petitioner Company No.1/Transferee Company and accordingly the same shall pursuant to section 232 of the Companies Act, 2013, be transferred to and become the liabilities and duties of the Petitioner Company No.1/Transferee Company; and

The tax implications, if any, arising out of the scheme is subject to final decision of Concerned Tax Authorities and the decision of the Concerned Tax Authorities shall be binding.

The Directors of the Petitioner Company No.1/Transferee Company and Petitioner Company No.2/Transferor Company have to ensure compliance of the observations made by the Regional Director, Ministry of Corporate Affairs, South-East Region, Hyderabad in his Affidavit dated 30th November, 2017 regarding compliance of FEMA and RBI Guidelines as well as statutory filings.

All the proceedings now pending by or against the Petitioner Company No.2/Transferor Company be continued by or against the Petitioner Company No.1/Transferee Company, if any; and

The Petitioner Companies shall within thirty days of the date of the receipt of this order cause a certified copy of this order along with a copy of scheme of Amalgamation to be delivered to the Registrar of Companies for registration in accordance with Rule 25 (7) of Companies (Compromises, Arrangements & Amalgamations) Rules, 2016.

The Scheme shall be effective from the appointed date as mentioned in the Scheme of Amalgamation i.e. 1st April, 2017.

The Transferor Company or its Authorized Signatories are directed that after the completion of the process of Amalgamation to handover the possession of the Books of Accounts and other relevant documents of the Petitioner Company No.2/Transferor Company to the Petitioner Company No.1/Transferee Company for the purpose of Section 239 of the Companies Act, 2013.

Any person is at the liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

(ASHOK KUMAR MISHRA)
MEMBER, TECHNICAL

(RAJESWARA RAO VITTANALA)
MEMBER, JUDICIAL

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NATIONAL COMPANY LAW TRIBUNAL
BENGALURU BENCH
COURT NO.1

ATTENDANCE CUM ORDER SHEET OF THE HEARING OF NATIONAL COMPANY LAW TRIBUNAL, BENGALURU BENCH, BENGALURU, HELD ON 20.04.2018.

PRESENT: 1. Hon'ble member (J) **Shri Rajeswara Rao Vittanalla,**
2. Hon'ble member (T) **Dr. Ashok Kumar Mishra,**

CP/CA No	Purpose	Section	Name of Petitioner	Petitioner Advocate	Name of Respondent	Respondent Advocate
CP(CAA)No.84/17	For hearing	230-232	H C Hydraulic Technologies Pvt Ltd	Joseph & Chacko LLP	-	

SL. NO.	NAME (IN CAPITAL) & PHONE NUMBER	REPRESENTATION TO WHOM	SIGNATURE
	BINOY CHACKO 9945754280	He Hydraulic Technologies Pvt Ltd.	

ORDER

Company Petition disposed off vide separate Order

MEMBER(T) **MEMBER(J)**